

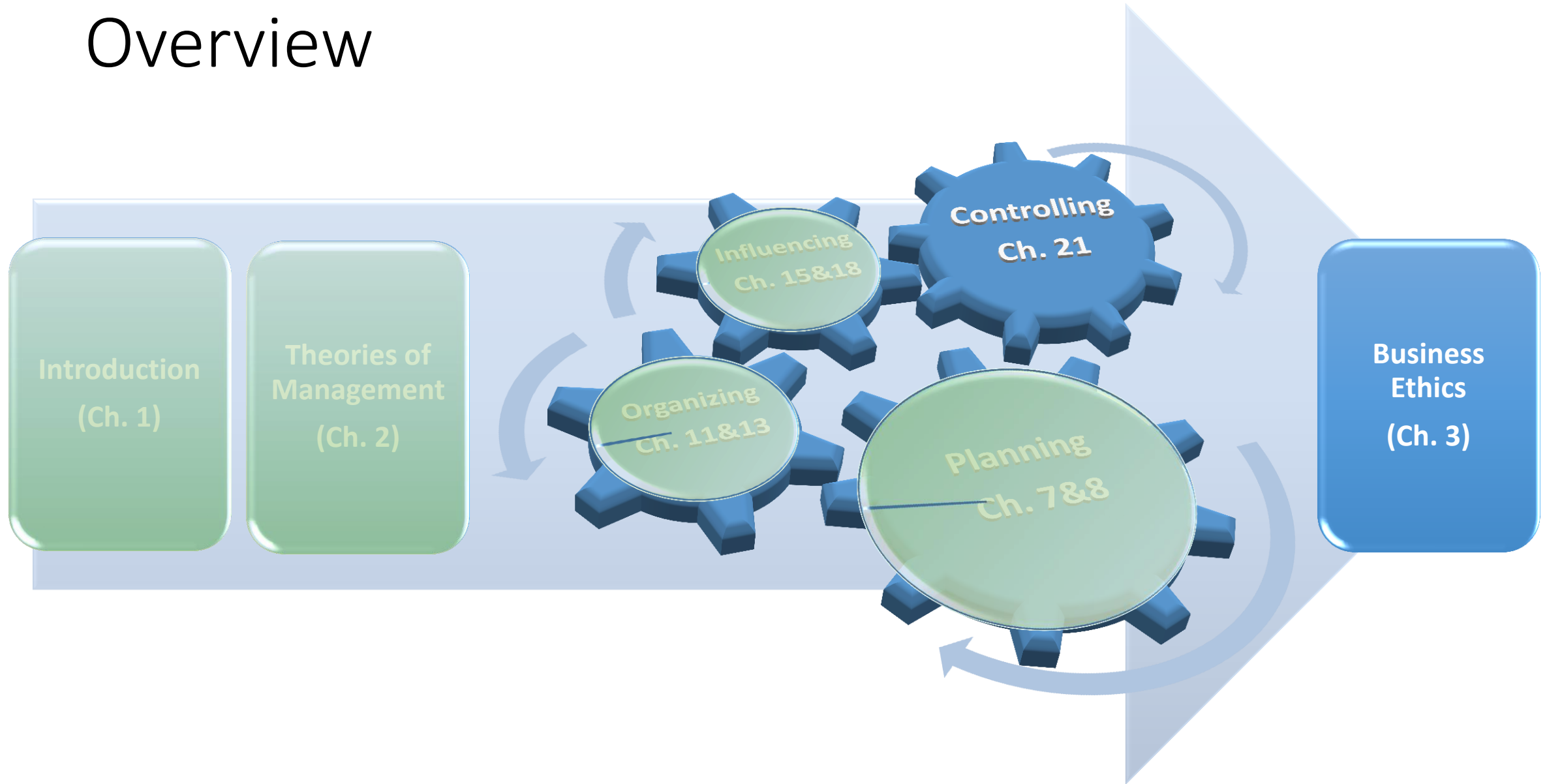
Chapter 21

Controlling Fundamentals

By

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Overview



Objectives

- 1. A thorough understanding of the controlling subsystem*
- 2. Insights into the relationship between power and control*
- 3. An understanding of steps that can be taken to increase the quality of a controlling subsystem*
- 4. Knowledge of the various potential barriers that must be overcome to implement successful control*

Definitions

- **Control:**

Ensuring that an event occurs as it was planned to occur.

Planning and control are virtually inseparable functions, they have been called the Siamese twins of management

Definitions

- **Murphy's Law:**

Anything that can go wrong will go wrong.

This law reminds managers to remain alert for possible problems

Definitions

- **Controlling:**

The process managers go through to control.

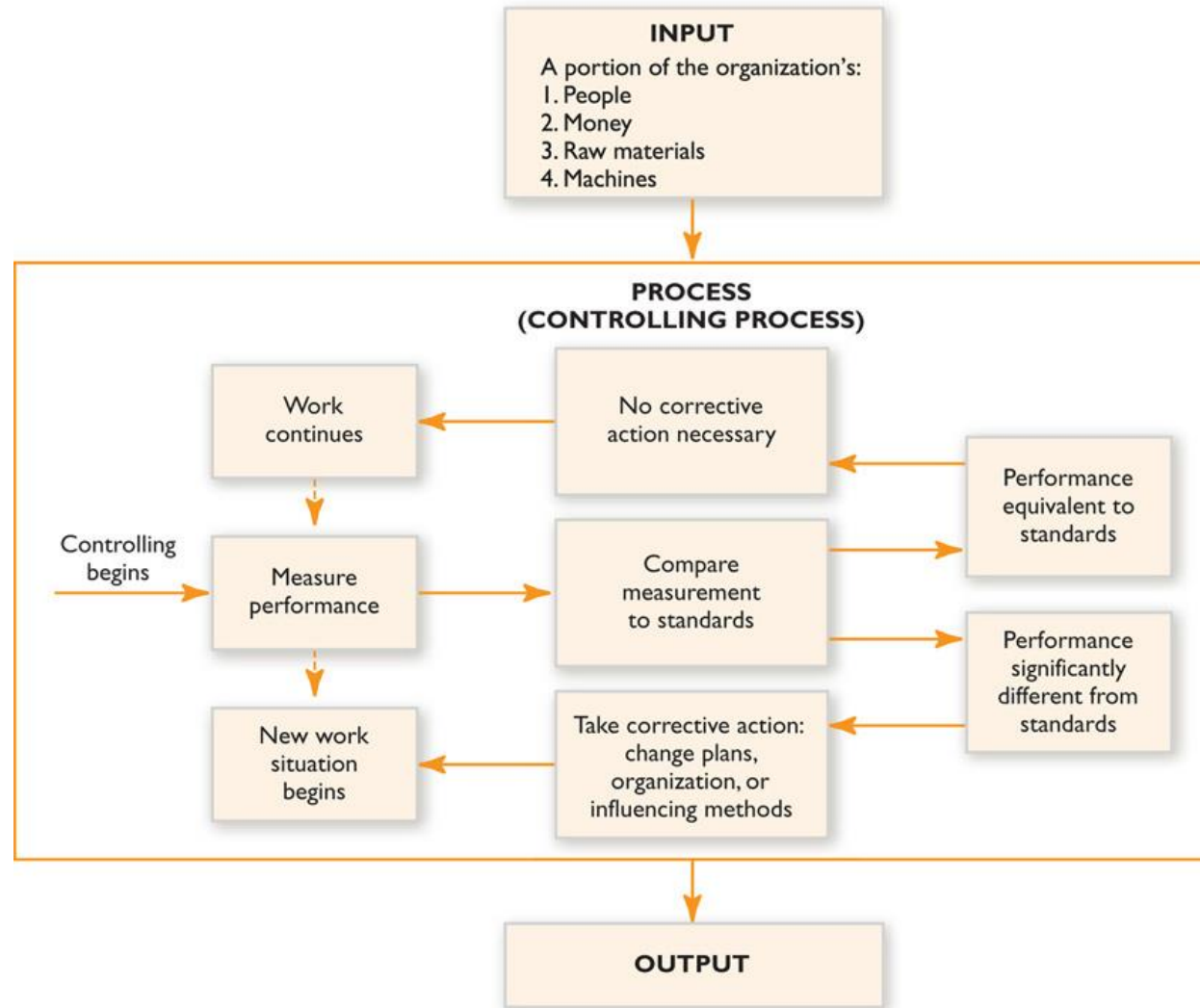
- According to Roberto Mockler, controlling is
a systematic effort by business management to compare performance to predetermined standards, plans, or objectives to determine whether performance is in line with these standards and presumably to take any remedial action required to see that human and other corporate resources are being used in the most effective and efficient way possible in achieving corporate objectives.

The Controlling Subsystem

- **Purpose:**

To help managers enhance the success of the overall management system through effective controlling.

The Controlling Process



The Controlling Process

1. Measuring Performance.
2. Comparing Measured Performance To Standards.
3. Taking Corrective Action.

The Controlling Process

Measuring Performance.

- ***How to Measure:***

1. Establish units of measure that represent target performance.
2. Determine the level of each of these units accomplished by each target employee.

- ***What to Measure:***

- Managers must always keep in mind that a wide range of organizational activities can be measured as part of the control process.

The Controlling Process

Comparing Measured Performance To Standards.

- **Standard:**

The level of activity established to serve as a model for evaluating organizational performance.

- Successful managers pinpoint all important areas of organizational performance and establish corresponding standards in each area.

The Controlling Process

Comparing Measured Performance To Standards.

- **American Airlines:**

1. At least 95 percent of the flight arrival times posted should be accurate, meaning that actual arrival times do not deviate more than 15 minutes from posted times.
2. At least 85 percent of customers coming to the airport ticket counter should not have to wait more than 5 minutes to be serviced.

The Controlling Process

Taking Corrective Action.

- **Corrective action:**

Managerial activity aimed at bringing organizational performance up to the level of performance standards.

1. ***Recognizing Problems:***

Problem: any factor within an organization that is a barrier to organizational goal attainment.

2. ***Recognizing Symptoms:***

Symptom: a sign that a problem exists.

Power and Control

- **Authority:**

The right to command or give orders.

- **Power:**

The extent to which an individual is able to influence others so they respond to orders.

Power and Control

Total Power of a Manager.

$$\text{Total Power} = \text{Position Power} + \text{Personal Power}$$

1. Position Power:

Is power derived from the organizational position a manager holds.

2. Personal Power:

Is power derived from a manager's relationships with others.

Power and Control

To increase personal power, a manager should attempt to develop the following attitudes and beliefs in other organization members:

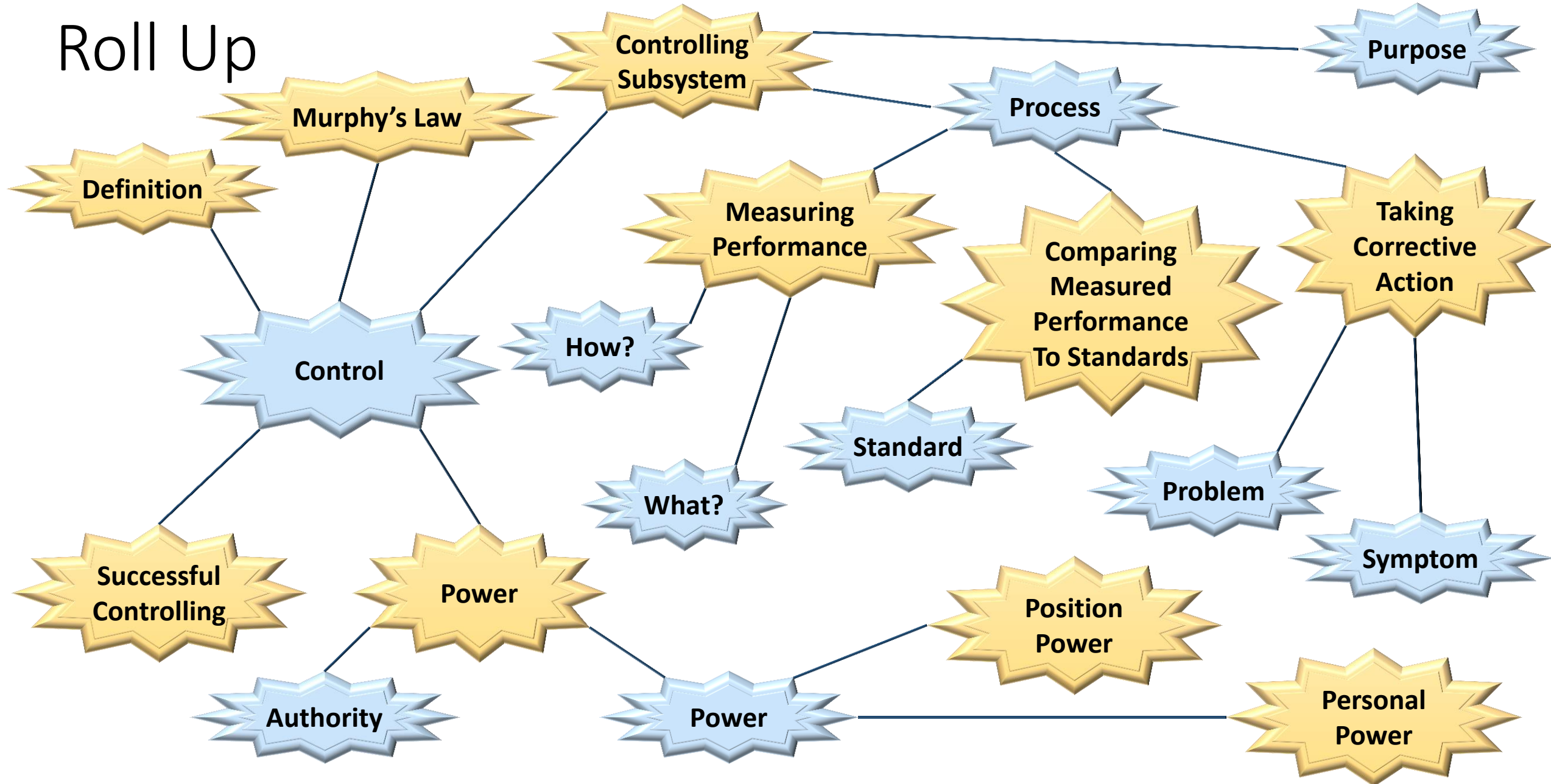
1. A sense of obligation toward the manager.
2. A belief that the manager possesses a high level of expertise within the organization.
3. A sense of identification with the manager.
4. The perception that they are dependent on the manager.

Making Controlling Successful.

Managers should make sure to take the following factors into account:

1. Specific Organizational Activities Being Focused On.
2. Different Kinds of Organizational Goals.
3. Timely Corrective Action.
4. Communication of the Mechanics of the Control Process.

Roll Up



Overview

